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B.Tech / M.Tech (Integrated) DEGREE EXAMINATION, JANUARY 2024

First Semester

21MGH101T - FUNDAMENTALS OF ECONOMICS

(For the candidates admitted during the academic year 2022-2023 onwards)

Note:

- i. **Part - A** should be answered in OMR sheet within first 40 minutes and OMR sheet should be handed over to hall invigilator at the end of 40th minute.
- ii. **Part - B** and **Part - C** should be answered in answer booklet.

Time: 3 Hours

Max. Marks: 75

PART - A (20 × 1 = 20 Marks)

Answer all Questions

	Marks	BL	CO
1. The central quest of economics is not to find the most logical and effective use of (A) Production (B) Employment (C) Contribution (D) Banking system	1	1	1
2. Macro economics is not concerned with (A) National Income (B) GDP (C) IGNP (D) Industry	1	1	1
3. ----- is a economics under Micro economics (A) Environmental (B) GDP (C) GNP (D) Industry	1	1	1
4. Utility from goods can differ with the changes with ----- and time (A) Location (B) Size (C) opportunity (D) Customer	1	1	1
5. Which is the not the factor of supply for goods and services? (A) Price of goods or service (B) Price of production (C) Price of Input (D) Consumers expectation	1	1	2
6. A firm supplying good X, the market price of its substitute Good Y increased by 10%, what will the firm ideally do (A) Switch to Y (B) Decrease supply of good X (C) Continue to supply good X (D) No change	1	1	2
7. A period in which output can be changed by changing only variable factors is the case of (A) Short run (B) Long run (C) Flexible run (D) Factor run	1	1	2
8. Which of the following explains the short turn production function? (A) Law of variable proportions (B) Law of demand (C) Law of Supply (D) Returns to Scale	1	1	2
9. Which cost is incurred even if the organization is closed? (A) Historical cost (B) Sunk cost (C) Shut down cost (D) Imputed cost	1	1	3
10. ----- refers o the total receipts from the sale of a given commodity. (A) Total Revenue (B) Marginal Revenue (C) Explicit Revenue (D) Average Revenue	1	1	3

11. The market type which is known as perfect competition is _____.	1	1	3
(A) Highly competitive and companies find it challenging to earn economic profits in the long run	(B) Almost free from competition and companies earn large profits		
(C) Marked by firms continuously trying to upgrade their products so that buyers prefer their products to that of their competitors	(D) Dominated by fierce advertising campaigns		
12. Which of the following statements is true?	1	1	3
(A) A market with two firms is known as a monopoly	(B) A market with two firms is known as a duopoly		
(C) A market with two firms is known as an oligopoly	(D) A market with two firms is known as a perfect competition		
13. One difference between oligopoly and monopolistic competition is that	1	1	4
(A) a monopolistically competitive industry has fewer firms.	(B) fewer firms compete in oligopoly than in monopolistic competition		
(C) in monopolistic competition, the products are identical	(D) monopolistic competition has barriers to entry		
14. Which of the following statements is accurate?	1	1	4
(A) Oligopoly is a market that has a few large firms	(B) Monopoly is a market that has a few large firms		
(C) Duopoly is a market that has a few large firms	(D) Perfect competition is a market that has a few large firms		
15. Canara Bank is an example of	1	1	4
(A) Private Bank	(B) Public bank		
(C) Foreign bank	(D) Non banking financial institution		
16. Which agency regulates the money supply in India?	1	1	4
(A) The Government of India	(B) Commercial Bank		
(C) Reserve Bank of India	(D) Ministry of Finance		
17. The monetary policy stances in which interest rates may move either upwards or downwards is called as	1	1	5
(A) Accommodative stance	(B) Neutral Stance		
(C) Calibrated Stance	(D) Hawkish stance		
18. Which of the following is the correct term for calculating National Income at constant prices?	1	1	5
(A) Current income	(B) Domestic income		
(C) Real Income	(D) Income from abroad		
19. What is the shape of Indifference curve when gap between 'x' and 'y' is diminishing	1	1	5
(A) straight line	(B) concave to the origin		
(C) Convex to the origin	(D) No relation		
20. The law of demand concerns consumers -----to purchase goods and services at given prizes.	1	1	5
(A) Changing demand	(B) Changing desire		
(C) Available choice	(D) Available market		

PART - B (5 × 8 = 40 Marks)

Answer **all** Questions

Marks BL CO

21. (a) Explain the different branches of economics.	8	2	1
(OR)			
(b) Explain micro economics			

22.	(a) What is demand curve?	8	2	2
	(OR)			
	(b) What is supply curve?			
23.	(a) What are Isoquants?	8	2	3
	(OR)			
	(b) Define cost			
24.	(a) Explain the monopolistic competition.	8	2	4
	(OR)			
	(b) Explain monopoly			
25.	(a) What is Balance of Payment?	8	2	5
	(OR)			
	(b) What is budget for a country?			

PART - C (1 × 15 = 15 Marks)

Answer any 1 Questions

Marks BL CO

26.	What is the concept of elasticity of demand? Throw light on its importance. What are its kinds?	15	2	2
27.	What are the elements of National Income? Explain the relationship between national income and economic welfare.	15	2	5

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